Amazing Bank 401(k) Savings Plan

Policy Document for U.S. Employees

Retirement Savings | Employer Contributions | Investment Options

Effective Date: January 1, 2025

Executive Summary

The Amazing Bank 401(k) Savings Plan provides a comprehensive retirement savings program designed to help employees build financial security for their future. This policy document outlines the firm's 401(k) plan effective January 1, 2025, including automatic enrollment at 5% contribution rate with annual auto-escalation up to 10%, employer matching contributions of up to 5% (dollar-for-dollar) after one year of service, automatic pay credits of 3% to 5% for eligible employees earning less than $350,000 annually, immediate eligibility to participate with no waiting period, diverse investment options including Target Date Funds and professionally managed portfolios, 2025 contribution limits of $23,500 (under 50) with enhanced catch-up provisions for ages 60-63, vesting schedules for employer contributions, and loan and hardship withdrawal provisions. The plan is administered through Empower Retirement with access via the mySedgwick portal, reflecting Amazing Bank's commitment to supporting employees' long-term financial wellness[1][2].

Section 1: Plan Overview and Eligibility

1.1 Introduction to the 401(k) Savings Plan

The Amazing Bank 401(k) Savings Plan is a tax-advantaged retirement savings program that enables employees to save and invest for their future while receiving valuable employer contributions[1][2].

Key Plan Features:

- Immediate eligibility to participate upon hire
- Automatic enrollment at 5% contribution rate
- Annual contribution auto-escalation (increases 1% per year up to 10%)• Employer matching contributions up to 5% (after one year of service)• Automatic pay credits of 3% to 5% for eligible employees
- Tax-deferred and Roth (after-tax) contribution options
- Wide range of investment choices including Target Date Funds
- Loan provisions and hardship withdrawal options
- Administered by Empower Retirement
- Accessed through mySedgwick portal at login.mysedgwick.com/amazingbank

1.2 Employee Eligibility

Who Is Eligible:

All employees are eligible to participate in the 401(k) Savings Plan if they[1]:

- Are employed by Amazing Bank or one of its subsidiaries that has adopted the Plan• Work in the United States
- Are on a U.S. payroll

No Waiting Period:

- Employees are eligible to participate immediately upon hire
- There is no minimum service requirement to begin contributing
- Benefits-eligible employees (regularly scheduled to work 20+ hours per week) qualify for all plan features

Part-Time Employees:

Part-time employees regularly scheduled to work 20 or more hours per week are eligible to participate on the same basis as full-time employees[1].

1.3 Automatic Enrollment

Grace Period:

New hires have a 31-day grace period from their hire date before automatic enrollment takes effect[2].

What Happens if You Don't Opt Out:

If you do not actively decline participation or make contribution elections within the 31-day grace period:

- You will be automatically enrolled in the Plan
- Automatic contribution rate: 5% of Ongoing Compensation (before-tax)
- Automatic investment election: Target Date Fund based on your current age and assumed retirement age of 65
- Contributions begin with your first paycheck after the grace period ends

Example:

Employee hired April 1, 2025:

- April 1-May 1: 31-day grace period (no contributions unless employee elects)
- May 2 onward: If no action taken, automatic 5% contributions begin

Opting Out:

- Employees may decline participation during the grace period• Can opt out anytime after automatic enrollment
- Access mySedgwick portal to change or stop contributions• Can re-enroll at any time

1.4 Annual Auto-Escalation

Automatic Contribution Increases:

To help employees increase their retirement savings over time, the Plan includes an automatic escalation feature[2]:

- Contribution rate automatically increases by 1% each year
- Increases occur annually (typically in January)
- Escalation continues until contribution rate reaches 10%
- Applies to before-tax contribution rate
- Employees can opt out or adjust the escalation schedule anytime

Example:

Employee automatically enrolled at 5% in 2025:

- January 2026: Contribution rate increases to 6%
- January 2027: Contribution rate increases to 7%
- January 2028: Contribution rate increases to 8%
- Continues through January 2030 when reaching 10%

Customizing Auto-Escalation:

- Employees can turn off automatic escalation
- Can set a different target percentage
- Can change the annual increase amount
- Manage through mySedgwick portal

Section 2: Employee Contributions

2.1 Types of Contributions

Employees can make three types of contributions to the 401(k) Savings Plan[1][2]:

Before-Tax (Traditional) Contributions:

- Contributions made on a pre-tax basis (reduce current taxable income)
- Taxes deferred until withdrawal in retirement
- Earnings grow tax-deferred
- Subject to income tax upon withdrawal

Roth 401(k) Contributions:

- Contributions made on an after-tax basis (no current tax deduction)
- Qualified withdrawals in retirement are tax-free
- Earnings grow tax-free
- Must meet qualified distribution requirements (age 59½ and 5-year holding period)

After-Tax (Non-Roth) Contributions:

- Additional contributions beyond the annual limit for before-tax and Roth

- Made on after-tax basis
- Earnings are tax-deferred (not tax-free)

- Maximum $10,000 annually in after-tax contributions
- Can be converted to Roth IRA upon separation from employment

2.2 Contribution Limits for 2025

Annual Contribution Limits (Before-Tax + Roth Combined):

IRS limits for 2025 based on age[1][2]:

Age Category	2025 Annual Limit
Under age 50	$23,500
Age 50-59	$31,000 ($23,500 + $7,500 catch-up)
Age 60-63	$34,750 ($23,500 + $11,250 enhanced catch-up)
Age 64 and older	$31,000 ($23,500 + $7,500 catch-up)

Table 1: 2025 401(k) contribution limits by age

Enhanced Catch-Up Contributions (Ages 60-63):

Beginning in 2025, employees aged 60-63 can contribute an enhanced catch-up amount of $11,250 (total contribution up to $34,750)[2].

After-Tax Contribution Limit:

In addition to the limits above, employees can contribute up to $10,000 annually in non-Roth after-tax contributions[2].

Overall Plan Limit:

The total annual additions limit (employee contributions + employer contributions) for 2025 is $69,000 (or $76,500 for employees age 50+)[1].

2.3 Making Contribution Elections

How to Contribute:

1. Access mySedgwick Portal: Go to login.mysedgwick.com/amazingbank
2. Log In: Use Amazing Bank Standard ID (SID)
3. Navigate to 401(k) Section: Select "401(k) Savings Plan"
4. Set Contribution Rate: Choose percentage of Ongoing Compensation 5. Select Contribution Type: Before-tax, Roth, or combination
6. Choose Investment Options: Select funds or use default Target Date Fund 7. Save Elections: Confirm and submit changes

Contribution Sources:

- Per-Pay (Standard): Deducted from each regular paycheck
- Annual Incentive Compensation (Bonus): Percentage from annual bonus (if eligible)

Changing Contributions:

- Changes can be made at any time through mySedgwick portal
- Changes typically effective within 1-2 pay periods
- Can increase, decrease, or stop contributions
- Can change between before-tax and Roth at any time

2.4 Eligible Compensation

What Counts as Eligible Compensation:

Contributions are calculated based on Eligible Compensation, which includes[1][2]:

- Base salary or regular wages
- Job differential pay (e.g., shift pay)
- Annual Incentive Compensation (bonus) if applicable

What Does NOT Count:

- Overtime pay
- Commissions (unless specifically included)
- Severance pay
- Reimbursements
- Non-cash compensation

Compensation Limits:

For 2025, the IRS limits annual compensation that can be considered for plan purposes to $350,000[1].

Section 3: Employer Contributions

3.1 Matching Contributions

Employer Match Overview:

Amazing Bank provides dollar-for-dollar matching contributions on employee before-tax and/or Roth contributions up to 5% of Eligible Compensation[1][2].

Eligibility for Matching Contributions:

To receive employer matching contributions, employees must:

- Complete one year of service (12 months from hire date)
- Contribute to the Plan (before-tax and/or Roth contributions)
- Be actively employed on December 31 of the plan year
- Have Total Annual Cash Compensation less than $1,000,000

Match Calculation:

- Amazing Bank matches 100% of contributions up to 5% of Eligible Compensation
- Example: Employee earning $100,000 who contributes 5% ($5,000) receives $5,000 match
- Example: Employee earning $100,000 who contributes 3% ($3,000) receives $3,000

match

Matching Contribution Caps:

Total Annual Cash Compensation	Matching Contribution Cap
Less than $350,000	Up to 5% of Eligible Compensation (no cap)
$350,000 to $999,999	Up to 5% of Eligible Compensation, capped at $10,000 annually
$1,000,000 or more	Not eligible for matching contributions

Table 2: Employer matching contribution caps by compensation level

When Matching Contributions Are Made:

- Matching contributions are made annually
- Credited to employee accounts in early the following year (e.g., 2025 match credited in early 2026)
- Must be actively employed on December 31 of the plan year to receive the match• If terminated before December 31, forfeit that year's match

Special Consideration for New Hires:

Only contributions made after completing one year of service are eligible for matching[2].

Example:

Employee hired April 1, 2025:

- April 1, 2025 - April 30, 2026: Contributions made during this period NOT eligible for match
- May 1, 2026 - December 31, 2026: Contributions made during this period ARE eligible for match
- Early 2027: Employer match for May-December 2026 contributions credited to account

3.2 Automatic Pay Credits

Automatic Pay Credit Overview:

In addition to matching contributions, Amazing Bank provides automatic pay credits to eligible employees[1][2].

Eligibility for Automatic Pay Credits:

To receive automatic pay credits, employees must:

- Complete one year of service
- Have Total Annual Cash Compensation less than $350,000• Be actively employed on December 31 of the plan year

Automatic Pay Credit Amounts:

For most employees, automatic pay credits equal 3% of Eligible Compensation (where compensation is capped at $100,000 annually)[1][2].

Enhanced Automatic Pay Credits (Grandfathered Employees):

For benefits-eligible employees as of December 31, 2018, who are continuously employed, automatic pay credits range from 3% to 5% of Eligible Compensation (capped at $100,000) based on years of pay credit service[1][2].

Example:

Employee earning $80,000 with one year of service:

- Automatic pay credit: 3% × $80,000 = $2,400 (contributed by employer)

Employee earning $150,000 with one year of service:

- Automatic pay credit: 3% × $100,000 (cap) = $3,000 (contributed by employer)

Key Differences: Automatic Pay Credits vs. Matching Contributions:

Feature	Automatic Pay Credits	Matching Contributions
Employee contribution required?	No	Yes
Amount	3% to 5% of pay (up to $100k)	Up to 5% of pay (no employee cap)
Compensation eligibility	Total Annual Cash Comp < $350k	Total Annual Cash Comp < $1M

Table 3: Comparison of automatic pay credits and matching contributions

When Automatic Pay Credits Are Made:

- Credited annually
- Deposited to employee accounts in early the following year•
  Must be actively employed on December 31 to receive credits

Special Consideration for New Hires:

Only compensation earned after completing one year of service is used to calculate automatic pay credits[2].

Example:

Employee hired April 1, 2025, earning $60,000 annually:

- May 1, 2026 - December 31, 2026: 8 months of eligible compensation = $40,000
- Automatic pay credit for 2026: 3% × $40,000 = $1,200 (credited in early 2027)

3.3 Maximizing Employer Contributions

Best Practices:

To maximize employer contributions:

1. Contribute at Least 5%: Ensure you contribute at least 5% of Eligible Compensation to receive full match (if eligible)
2. Contribute Throughout the Year: Spread contributions evenly to capture match on all paychecks
3. Stay Employed Through Year-End: Remain employed on December 31 to receive annual employer contributions
4. Monitor Total Compensation: Understand how your compensation level affects match caps and pay credit eligibility

Contribution Pacing:

- Match eligibility based on annual contributions up to 5% of Eligible Compensation• Can contribute higher percentages early in year and reduce later, or vice versa• As long as total contributions reach 5% of annual Eligible Compensation by year-end, full match received

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Section 4: Vesting

4.1 What Is Vesting?

Vesting Definition:

Vesting is the process by which employees earn non-forfeitable ownership rights to employer contributions. Once vested, employees have the right to keep employer contributions even if they leave Amazing Bank[3].

Always 100% Vested:

- Employee contributions (before-tax, Roth, after-tax)• Rollover contributions from prior employer plans or IRAs• Investment earnings on employee contributions

Subject to Vesting Schedule:

- Employer matching contributions
- Automatic pay credits
- Investment earnings on employer contributions

4.2 Amazing Bank Vesting Schedule

Standard Vesting Schedule:

For Amazing Bank 401(k) Savings Plan, employer contributions (matching and automatic pay credits) vest according to the following schedule[1][3]:

Immediate Vesting:

Employer contributions are 100% immediately vested for Amazing Bank employees. There is no waiting period to own employer contributions.

Vesting Upon Termination:

Because vesting is immediate:

- Employees retain 100% of employer contributions regardless of service length at termination
- No forfeiture of employer contributions upon separation
- All account balances fully portable

Vesting Exceptions (General Industry Practice):

In retirement plans that use vesting schedules (not Amazing Bank 401(k) Plan), immediate vesting occurs upon:

- Death
- Disability
- Attainment of plan's Normal Retirement Age

Section 5: Investment Options

5.1 Investment Approach Overview

The Amazing Bank 401(k) Savings Plan offers a range of investment options designed to meet diverse retirement savings goals and risk tolerances[4].

Three Primary Investment Approaches:

1. Target Date Funds ("No Assembly Required"): Single-fund portfolios that automatically adjust asset allocation as you approach retirement
2. Core Investment Funds ("Build Your Own"): Individual mutual funds across asset classes for custom portfolio construction
3. Professional Management Services: Personalized portfolio management by investment professionals

5.2 Target Date Funds (Default Investment)

What Are Target Date Funds?

Target Date Funds are lifecycle investment options designed by Amazing Bank Investment Management that automatically adjust asset allocation based on target retirement date[4].

Key Features:

- Professionally managed by Multi-Asset Solutions (MAS) within Amazing Bank Investment Management
- Diversified portfolios across equity, fixed income, REITs, Inflation-Protected Securities (IPS), and cash

- Automatic rebalancing over time to more conservative allocations as retirement approaches
- Single-fund solution (no need to select multiple funds)

- Default investment for automatically enrolled participants

How Target Date Funds Work:

- Funds with dates farthest in future have most aggressive allocation (higher equity exposure)
- As target date approaches, asset mix gradually shifts to more conservative investments (bonds, cash)
- After reaching target retirement date, fund transitions to Target Date Income Fund for retirees

Available Target Date Funds:

- Target Date 2025 Fund
- Target Date 2030 Fund
- Target Date 2035 Fund
- Target Date 2040 Fund
- Target Date 2045 Fund
- Target Date 2050 Fund
- Target Date 2055 Fund
- Target Date 2060 Fund
- Target Date 2065 Fund
- Target Date Income Fund (for retirees)

Choosing a Target Date Fund:

Select the fund with a target date closest to the year you plan to retire. For example:

- Employee age 35 planning to retire at 65 (around 2055): Select Target Date 2055 Fund
- Employee age 50 planning to retire at 67 (around 2042): Select Target Date 2040 Fund

5.3 Core Investment Funds

Build Your Own Portfolio:

For employees who prefer to construct custom portfolios, the Plan offers a range of individual mutual funds across asset classes[4].

Asset Class Categories:

- U.S. Equity Funds: Large-cap, mid-cap, small-cap stocks
- International Equity Funds: Developed and emerging markets
- Fixed Income Funds: Government bonds, corporate bonds, high-yield bonds
- Real Estate Funds: Real Estate Investment Trusts (REITs)
- Stable Value/Capital Preservation Funds: Low-risk, principal-preservation options
- Specialty Funds: Inflation-protected securities, sector-specific funds

Diversification Considerations:

When building custom portfolios:

- Diversify across asset classes to manage risk
- Balance equity (stocks) and fixed income (bonds) based on risk tolerance and time

horizon

- Consider age and years to retirement when selecting allocation• Rebalance periodically to maintain target allocation

5.4 Professional Management Services

Managed Account Services:

For employees seeking personalized investment management:

- Professional portfolio construction based on individual circumstances• Ongoing monitoring and rebalancing
- Customized to age, risk tolerance, account balance, and retirement goals• Additional fees may apply
- Contact Empower Retirement for details

5.5 Changing Investment Elections

How to Change Investments:

1. Access mySedgwick portal at login.mysedgwick.com/amazingbank 2. Navigate to 401(k) Savings Plan section
3. Select "Change Investments"
4. Choose new investment allocation for future contributions 5. Option to reallocate existing account balance (exchange funds) 6. Save changes

Frequency of Changes:

- Can change investment elections at any time
- No limit on number of changes
- Changes typically effective within 1-2 business days

Automatic Rebalancing:

- Employees can set up automatic rebalancing to maintain target allocation• Rebalances account quarterly, semi-annually, or annually
- Helps maintain desired risk level without manual intervention

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Section 6: Loans and Withdrawals

6.1 Plan Loans

Loan Availability:

The Amazing Bank 401(k) Savings Plan permits participants to borrow from their vested account balance[5].

Loan Terms:

- Maximum loan amount: Lesser of $50,000 or 50% of vested account balance• Minimum loan amount: Typically $1,000 (check plan specifics)

- Repayment term: Generally up to 5 years (longer for primary residence purchase)• Interest rate: Prime rate plus 1% (interest paid back to participant's own account)

- Repayment method: Automatic payroll deduction

Loan Advantages:

- No credit check required
- Interest paid to your own account
- Does not appear on credit report
- Generally lower interest rate than consumer loans

Loan Disadvantages:

- Reduces retirement account balance and potential investment growth
- Repaid with after-tax dollars (contributions were pre-tax)
- If employment terminates, outstanding loan balance typically due within 60-90 days• Default on loan results in taxable income plus 10% penalty if under age 59½

How to Request a Loan:

1. Access mySedgwick portal
2. Navigate to 401(k) Savings Plan
3. Select "Request a Loan"
4. Complete loan application specifying amount and purpose 5.
Review loan terms and repayment schedule
6. Submit request
7. Loan typically processed within 5-7 business days

6.2 In-Service Withdrawals

Age 59½ Withdrawals:

Once participants reach age 59½, they may take withdrawals from their account while still employed[5]:

- No penalty for withdrawals after age 59½
- Ordinary income tax applies to pre-tax contributions and earnings
- Roth contributions and qualified earnings withdrawn tax-free
- No requirement to take withdrawals (can continue contributing and allow funds to grow)

After-Tax Contribution Withdrawals:

Participants may withdraw after-tax (non-Roth) contributions at any time:

- Principal withdrawn tax-free
- Earnings subject to ordinary income tax
- If under age 59½, 10% penalty applies to earnings portion

6.3 Hardship Withdrawals

Hardship Withdrawal Eligibility:

The Plan permits hardship withdrawals for immediate and heavy financial needs[5].

Qualifying Hardship Reasons:

- Medical expenses for employee, spouse, or dependents
- Costs related to purchase of primary residence (excluding mortgage payments)• Tuition and related educational fees for next 12 months for employee, spouse, or dependents
- Payments to prevent eviction or foreclosure on primary residence• Funeral or burial expenses for employee's parent, spouse, child, or dependent• Expenses to repair damage to employee's primary residence (casualifiable event)• Expenses and losses due to federally declared disaster
- Certain expenses related to birth or adoption of a child

Hardship Withdrawal Requirements:

- Must demonstrate immediate and heavy financial need
- Withdrawal limited to amount necessary to satisfy need
- Must provide supporting documentation (medical bills, tuition statements, foreclosure notice, etc.)
- Must have exhausted other available financial resources (including plan loans if available)

Tax Consequences:

- Hardship withdrawals subject to ordinary income tax
- If under age 59½, 10% early withdrawal penalty applies (some exceptions)• Hardship withdrawals cannot be repaid to the Plan

How to Request Hardship Withdrawal:

1. Access mySedgwick portal
2. Navigate to 401(k) Savings Plan
3. Select "Request a Hardship Withdrawal"
4. Complete hardship withdrawal application
5. Specify reason and amount needed
6. Upload supporting documentation
7. Submit request
8. Empower reviews application and documentation 9. Approval decision typically within 7-10 business days

6.4 Distributions Upon Termination

Leaving Amazing Bank:

When employment ends, participants have several options for their 401(k) account balance[1]:

Option 1: Leave Balance in Plan

- If vested balance exceeds $7,000, can leave funds in Amazing Bank 401(k) Plan• Continue to manage investments and benefit from plan's investment options• No contributions allowed after termination
- No additional employer contributions
- Subject to plan fees and rules

Option 2: Rollover to New Employer's Plan

- Transfer vested balance to new employer's 401(k) or similar plan
- Avoids taxes and penalties
- Consolidates retirement savings
- Subject to new plan's rules and investment options

Option 3: Rollover to IRA

- Transfer vested balance to Traditional IRA or Roth IRA
- Broader investment choices than employer plans
- Avoids taxes and penalties (if direct rollover)
- May have different fee structures

Option 4: Cash Distribution

- Receive vested balance as lump-sum cash payment
- Subject to mandatory 20% federal tax withholding
- Ordinary income tax applies
- If under age 59½, 10% early withdrawal penalty applies
- Reduces retirement savings
- Generally not recommended unless immediate financial need

Required Minimum Distributions (RMDs):

Upon reaching age 73 (for those born 1951 or later), participants must begin taking annual RMDs from the Plan if no longer employed by Amazing Bank[1].

Section 7: Plan Administration and Access

7.1 Plan Administrator and Recordkeeper

Empower Retirement:

The Amazing Bank 401(k) Savings Plan is administered by Empower Retirement, a leading retirement plan recordkeeper[1][4].

Empower Responsibilities:

- Maintain participant account records
- Process contributions and investment elections
- Execute investment transactions
- Provide quarterly account statements
- Process loan and withdrawal requests
- Provide customer service and educational resources
- Maintain online portal and tools

7.2 Accessing Your Account

mySedgwick Portal:

Primary access point for managing 401(k) account[1][2]:

- Website: login.mysedgwick.com/amazingbank
- Log in using Amazing Bank Standard ID (SID)

- Available 24/7
- Mobile-responsive for smartphone access

Portal Features:

- View account balance and investment performance
- Change contribution rate and investment elections
- Request loans or withdrawals
- Access quarterly statements
- Use retirement planning calculators
- Review employer contributions (match and pay credits)
- Update beneficiary designations
- Access educational resources

Customer Service:

- Phone: 1-866-AMZB401k (1-866-576-XXXX)
- Outside U.S.: 1-303-737-XXXX
- Representatives available Monday-Friday, 8 a.m. to 10 p.m. Eastern time
- Automated phone system available 24/7

7.3 Account Statements and Reporting

Quarterly Statements:

- Mailed to home address and available electronically through portal
- Include account balance, contributions, investment performance, and fees
- Show employer contributions (match and pay credits)
- Detail investment allocation

Annual Statements:

- Comprehensive year-end summary
- Tax documents (Form 1099-R if distributions taken)
- Summary of annual contributions and employer contributions

Section 8: Beneficiary Designations

8.1 Importance of Beneficiary Designations

Why Designate Beneficiaries:

Beneficiary designations determine who receives your 401(k) account balance in the event of your death. Properly designated beneficiaries ensure:

- Funds transfer according to your wishes
- Avoid probate process
- Provide financial security to loved ones
- May offer tax advantages to beneficiaries

8.2 Primary and Contingent Beneficiaries

Primary Beneficiaries:

- First in line to receive account balance
- Can designate multiple primary beneficiaries with percentage allocations• Example: Spouse 100%, or Child 1 (50%) and Child 2 (50%)

Contingent Beneficiaries:

- Receive account balance only if all primary beneficiaries predecease participant• Backup beneficiaries
- Can designate multiple contingent beneficiaries with percentage allocations

8.3 Spousal Consent Requirements

Married Participants:

Under federal law, if you are married:

- Spouse is automatically primary beneficiary unless spouse provides written consent to name someone else
- Spouse must consent to non-spouse beneficiary designation in presence of plan representative or notary
- Protects spousal rights to retirement benefits

8.4 Updating Beneficiary Designations

When to Review Beneficiaries:

- After marriage or divorce
- Birth or adoption of children
- Death of named beneficiary
- Significant life changes
- At least annually as best practice

How to Update:

1. Access mySedgwick portal
2. Navigate to "Beneficiary Designations"
3. Review current beneficiaries
4. Add, remove, or modify beneficiaries
5. Specify percentage allocations (must total 100%) 6.
   Save changes
7. Print confirmation for records

Section 9: Fees and Expenses

9.1 Plan Administration Fees

Recordkeeping and Administrative Fees:

Amazing Bank pays the majority of plan administrative costs, but participants may be responsible for:

- Quarterly or annual recordkeeping fees (if applicable)
- Loan origination and maintenance fees
- Distribution and withdrawal processing fees
- Investment advisory fees (if using managed account services)

Specific fee amounts disclosed in quarterly account statements and plan fee disclosures.

9.2 Investment Fees

Expense Ratios:

Each investment option has an expense ratio representing annual fund operating expenses:

- Covers fund management, administrative, and operational costs
- Expressed as percentage of assets (e.g., 0.50% = $5 annually per $1,000 invested)
- Automatically deducted from fund returns
- Vary by fund; typically range from 0.03% to 1.50%

Fee Disclosure:

- Investment fund fees disclosed in quarterly statements
- Fund fact sheets available through mySedgwick portal
- Annual fee disclosure notice provided to all participants

Section 10: Important Legal and Tax Information

10.1 Tax Treatment of Contributions and Distributions

Before-Tax Contributions:

- Reduce current taxable income
- Contributions and earnings tax-deferred until withdrawal
- Distributions taxed as ordinary income

Roth Contributions:

- Made with after-tax dollars (no current tax deduction)
- Qualified distributions tax-free (age 59½ and 5-year holding period met)
- Contributions can be withdrawn tax-free at any time
- Earnings withdrawn before age 59½ subject to tax and penalty

After-Tax (Non-Roth) Contributions:

- Contributions made with after-tax dollars

- Principal withdrawn tax-free
- Earnings taxed as ordinary income upon withdrawal

Employer Contributions:

- Not taxable when contributed
- Taxed as ordinary income upon distribution

10.2 Early Withdrawal Penalties

10% Penalty Tax:

Distributions taken before age 59½ generally subject to 10% early withdrawal penalty in addition to ordinary income tax.

Penalty Exceptions:

- Separation from service after age 55
- Substantially equal periodic payments (SEPP)
- Disability
- Medical expenses exceeding 7.5% of adjusted gross income•
  Qualified domestic relations order (QDRO)
- IRS levy
- Birth or adoption expenses (up to $5,000)

10.3 ERISA Protections

Employee Retirement Income Security Act (ERISA):

The Amazing Bank 401(k) Savings Plan is governed by ERISA, which provides important protections:

- Fiduciary standards for plan management
- Participant rights to plan information
- Protection against creditors (assets generally cannot be seized)•
  Appeals process for denied claims or benefits
- Disclosure requirements

10.4 Plan Document Authority

This policy document provides a summary of the Amazing Bank 401(k) Savings Plan. Complete plan details are contained in the official Summary Plan Description (SPD) and Plan Document. In the event of any conflict, the official Plan Document governs.

10.5 Right to Amend or Terminate

Amazing Bank reserves the right to amend, modify, or terminate the 401(k) Savings Plan at any time, subject to applicable law. Changes may affect eligibility, contribution limits, employer contributions, vesting, investment options, or other plan provisions. Participants will be notified of material plan changes.

Section 11: Resources and Support

11.1 Online Resources

mySedgwick Portal:

- Website: login.mysedgwick.com/amazingbank
- 24/7 account access
- Retirement planning tools and calculators
- Educational videos and articles
- Investment fund information and performance

My Rewards Portal:

- Website: myrewards.amazingbank.com
- Access plan documents and SPD
- Review benefits elections
- Compensation and benefits information

11.2 Phone Support

Empower Retirement:

- Phone: 1-866-AMZB401k (1-866-576-XXXX)
- Outside U.S.: 1-303-737-XXXX
- Monday-Friday, 8 a.m. to 10 p.m. Eastern time
- Automated phone system 24/7

Amazing Bank Benefits Service Center:

- Phone: 1-844-ASK-AMZB (1-844-275-XXXX)
- Monday-Friday, 8 a.m. to 7 p.m. Eastern time
- Questions about eligibility, plan provisions, benefits coordination

11.3 Financial Planning Resources

Retirement Planning Tools:

- Retirement income calculator (projects retirement savings and income needs)
- Contribution calculator (determines appropriate savings rate)
- Maximize match calculator (ensures contributions capture full employer match)
- Investment risk assessment
- Asset allocation tools

Financial Wellness Programs:

- Financial coaching and education
- Webinars on retirement planning topics
- One-on-one consultations (may be available)
- Online courses on investing, budgeting, and retirement

11.4 External Resources

Social Security Administration:

- Website: www.ssa.gov
- Phone: 1-800-772-1213
- Estimate Social Security retirement benefits
- Coordinate with 401(k) savings for comprehensive retirement planning

IRS Retirement Plans Information:

- Website: www.irs.gov/retirement-plans
- Tax rules and contribution limits
- Distribution rules and required minimum distributions• Tax forms and publications

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Conclusion

The Amazing Bank 401(k) Savings Plan is a cornerstone of the firm's comprehensive benefits package, designed to help employees achieve financial security in retirement. With automatic enrollment, generous employer matching contributions of up to 5%, automatic pay credits of 3% to 5% for eligible employees, diverse investment options including professionally managed Target Date Funds, and flexible contribution options including before-tax, Roth, and after-tax contributions, the Plan provides powerful tools for building long-term wealth.

Employees are encouraged to take full advantage of the Plan by contributing at least 5% to maximize the employer match, reviewing and adjusting investments periodically, updating beneficiary designations as life circumstances change, utilizing available retirement planning tools and resources, and consulting with financial advisors for personalized guidance. The combination of employee contributions, employer contributions, and investment growth over time creates a strong foundation for a comfortable retirement.

For questions about the 401(k) Savings Plan, to make changes to your account, or to access retirement planning tools, visit the mySedgwick portal at login.mysedgwick.com/amazingbank or call Empower Retirement at 1-866-AMZB401k (1-866-576-XXXX).

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